

“Silence Is Golden”

Maybe your credit or debt problems don't come from identity theft or debt discharge from bankruptcy. You still could be haunted by a past debt that was supposed to be written off as uncollectible. For whatever reason, you could not pay and your debt was deemed uncollectible. In this case, your old lender collected a tax write-off and you went about your life. But maybe that lender also sold your debt to a scavenger debt collector.

A story about a friend's daughter will show you what I mean. Jennifer recently graduated from college, with a big smile, big dreams, and a small pile of debt. She quickly found a job and started paying off her college debt. Other problems soon hit her. She incurred major dental expenses. Her roommate stole from her. Jennifer was smart and kicked her out, but now she was stuck paying twice the amount of rent she had planned on in her budget.

Jennifer did what any of us would do – she started using credit cards to help with her living expenses and the dental bills. Before long, her credit card debt was over \$3000. She slowly made payments, but found it hard to keep up with the high interest rate.

She decided that she needed to go to grad school to further her career goals, but she was not able to pay off the credit card debt. So Jennifer did what many of us do – nothing. She simply could not pay that credit card bill. The creditor stopped contacting her and time passed.

A few years down the road, Jennifer received a letter from what appeared to be a law firm that said they represented an acquisition company and that she owed them nearly \$2000. The letter also stated that unless she contacted their office within 30 days, they would consider that the debt was valid. It was further implied that there would be a lawsuit, and she would be responsible for the debt, plus interest and legal fees.

Don't be intimidated by “official” looking paperwork or serious language. They are just trying to scare you. Don't let them. The creditor and account number referenced in the letter were not familiar to Jennifer, nor did they match any of her records. She sent back an immediate reply stating that she was disputing their claim and wanted verification of the